Student FinTech Startup – Financial Report

AI-Guided Paper Trading & Financial Learning Platform

Prepared for: Student Founders and Early Investors

Currency: Indian Rupees (INR)

1. Unique Value Proposition (UVP)

This platform is designed specifically for college students who want to learn investing without risking real money.

Key value offered:

• Paper trading environment for safe practice

• AI-powered explanations for why trades succeed or fail

• Structured learning modules for beginners

• Campus leaderboards and collaborative investing

The product focuses on learning-first investing instead of complex trading tools.

2. Target Market and TAM (Pilot Stage)

Initial pilot launch will target a limited student base to validate the product.

Target users: 1,500 – 2,000 students

Subscription price: ₹48/month

Total Addressable Market (Pilot):

Lower Estimate:

1,500 students × ₹48 = ₹72,000 per month

Upper Estimate:

2,000 students × ₹48 = ₹96,000 per month

Annual TAM (Pilot Stage):

₹8,64,000 – ₹11,52,000

3. Free Trial Strategy

All new users receive a free trial for the first 2 months.

Purpose:

- Allow students to learn before paying
- Build trust in the product
- Improve long-term retention

Assumption:

Around 30% of trial users convert into paid subscribers after the trial period.

4. Minimum Viable Product (MVP)

Core features for the first version:

- Paper trading simulator
- AI-based trade feedback
- Portfolio dashboard
- Beginner investment learning modules
- Campus leaderboard
- Basic performance analytics

5. Cost of Capital (Initial Investment)

Total startup capital will not exceed ₹3,00,000.

Estimated allocation:

App development tools and hosting – ₹90,000

AI API integration – ₹40,000

Market data APIs – ₹20,000

UI/UX design – ₹30,000

Cloud infrastructure – ₹30,000

Campus marketing – ₹50,000

Legal and contingency – ₹40,000

Total Initial Capital:

₹3,00,000

6. Revenue Model

Subscription-based model after free trial.

Price:

₹48 per month

Trial Period: 2 months free

Conversion Rate Assumption:

30% of users convert to paid subscription after trial.

7. Average Revenue Per User (ARPU)

ARPU represents average monthly revenue from paying users.

ARPU = ₹48 per month

8. Customer Lifetime Value (CLV)

Average retention period assumed: 10 months

CLV = ₹48 × 10 months

CLV = ₹480 per paying user

9. Expected Monthly Revenue

Scenario calculation:

Total users: 2,000

Trial conversion rate: 30%

Paying users:

600 students

Monthly Revenue:

600 × ₹48 = ₹28,800

10. Variable Operating Costs

Monthly operating expenses:

Cloud hosting – ₹8,000

Market data APIs – ₹5,000

AI API usage – ₹7,000

Maintenance and support – ₹5,000

Total Monthly Variable Cost:

₹25,000

11. Break-Even Analysis

Monthly Revenue: ₹28,800

Monthly Operating Cost: ₹25,000

Estimated Monthly Profit:

₹3,800

Initial Investment:

₹3,00,000

Break-even period:

₹3,00,000 ÷ ₹3,800 ≈ 79 months

Note:

Expanding the number of students significantly reduces the break-even time.

12. Return on Investment (ROI)

Projected yearly profit:

Monthly Profit: ₹3,800

Yearly Profit: ₹45,600

ROI Formula:

ROI = (Annual Profit / Investment) × 100

ROI = (45,600 / 3,00,000) × 100

ROI ≈ 15.2%

13. Scaling Strategy

Phase 1 – Campus Pilot

Launch in 1–2 colleges with 1,500–2,000 students.

Phase 2 – Multi-College Expansion

Expand to 10–20 colleges through student ambassadors.

Phase 3 – National Student Community

Introduce competitions, rankings, and partnerships with finance clubs.

Phase 4 – Monetization Expansion

Offer premium learning modules, certifications, and brokerage partnerships.

14. Exit Strategy

Potential exit opportunities include:

1. Acquisition by FinTech platforms

Examples: Zerodha, Groww, Upstox

2. Partnership or acquisition by EdTech companies

Financial education platforms could integrate the system.

3. Venture Capital Scale-Up

If the platform grows beyond 100,000 student users.